



Planning

Chapter 4

Learning Objectives

After studying this chapter, the students are expected to:

- know the meaning, characteristics, types, process, need, levels, and methods of planning;
- know the planning horizons;
- discuss the pitfalls of planning;
- know the ways of improving planning.



Meaning of Planning

Planning is outlining a future course of actions and deciding in advance the most appropriate course for the achievement of organizational goals. In other words, planning is deciding in advance what to do, when to do and how to do.



Characteristics of Planning

The following are some of the notable characteristics of planning.

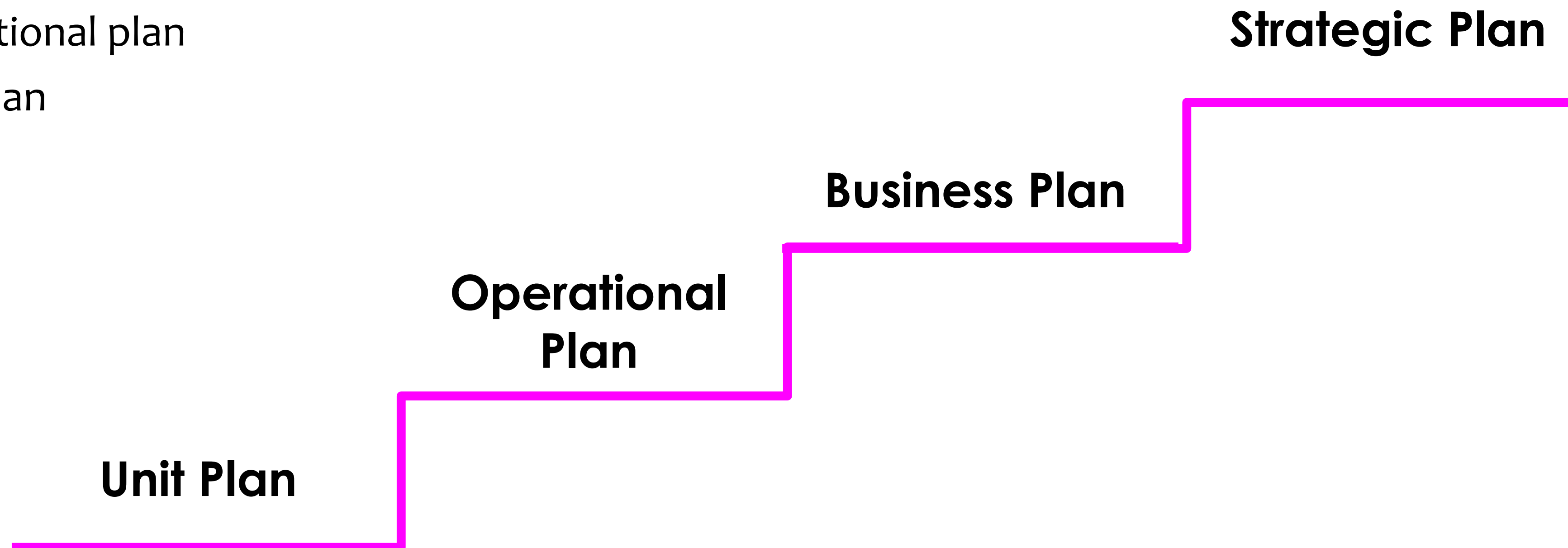
1. Primary function and focus on goals
2. Future oriented
3. Intellectual activity: involvement of top management
4. Pervasive activity
5. Continuous and flexible activity
6. Time frame
7. Based on environmental analysis
8. Set of priority and a means only
9. Efficiency and economy
10. Actionable/attainable



Levels of Planning

Planning is one of the important functions of an organization. It is done for different levels of organizations. They are:

1. Strategic plan
2. Business plan
3. Operational plan
4. Unit plan



Strategic Plan

The strategic plan is a long run plan of an organization. It determines where an organization is going over the time to come, how it is going to get there and how it will know if it got there. The focus of the strategic plan is usually on the entire organization.



Characteristics/Features of Strategic Planning

A strategic plan is a long term action that determines the scope and direction of an organization. The following are some of the notable characteristics of a strategic plan.

1. Long term focus
2. Based on environmental analysis
3. Strategic fit
4. Involvement of top management
5. A set of priority
6. A mean only



Business Plan

A business plan is simply the future roadmap of a business. It aims to gain a competitive advantage by exploiting core competencies in specific product markets. Business plan deals with the question: how do we compete?



Characteristics/Features of Business Plans

Key characteristics of business plans can be summarized as:

1. It is related to a particular business.
2. It is concerned with gaining competitive advantage in the market.
3. It is derived from strategic plan.
4. It has relatively shorter time horizon.



Operational Plan

Operational plans are formulated for achieving the operational goals. They support the tactical plans. They are prepared by middle and lower level managers and have relatively narrow scope. Each plan deals with a small set of activities.



Characteristics/Features of Operational Plans

Key characteristics of operational plans can be summarized as:

1. It is prepared to achieve tactical objectives of the business.
2. It is the shortest one among three types.
3. It is inward (efficiency) focused.
4. Its emphasis is on planning the routine activities of the business.
5. Its scope is narrow and specific.
6. High time period of it is 12 months only.



Unit Plan

Unit plans are plans for departments within functions, work teams, or even individuals. They are embedded within operating plans.



Planning Horizon

Planning horizon refers to how far the plan is meant to apply. Some plans are meant for long term whereas others are for short term.

1. Strategic plan
2. Tactical plan

Strategic Plan

Strategic plan which is multi layer in nature is typically a long term plans. The focus of the strategic plan is usually on the entire organization. Hence, it is different to a business plan which is usually related to a particular product, service or program.

Tactical Plan

A tactical plan is formulated for achieving tactical goals. It is developed to implement a particular part of the strategic goal. It is normally developed by the middle level management for a relatively shorter period of time. A tactical plan is usually developed in the areas of production, marketing, human resource, and finance.



Single Use and Standing Plan

Single use plan

It is formulated to achieve the definite objective. Hence, it is not non repetitive plan.

Standing plan

It is formulated for a long period of time. Hence, it is also called permanent plan.



Derivative and Contingency Plans

Derivative plans

They are the supporting plans for the achievement of main plan.

Contingency plans

They are formulated to deal with contingency or unexpected situations. There are two types of contingency plans:

1. Crisis management plan
2. Scenario plan



Process/Steps of Planning

The following are the widely used process of planning in most of the organizations.

1. Analysis of environment
2. Establishing goals/objectives
3. Determining planning premises
4. Identification of alternatives
5. Evaluation of alternatives
6. Selecting the best alternative
7. Formulating supportive plans
8. Implementation of the plan
9. Review of the plan



Need/Importance/Reasons for Planning

Some of the reasons as to why planning is considered important in organizations are listed below.

1. Reduces uncertainty and complexities
2. Provides direction
3. Reduces risk
4. Promotes innovative ideas
5. Facilitates decision making
6. Facilitates effective control
7. Promotes efficiency
8. Facilitates coordination
9. Improves motivation
10. Improves competitiveness



Methods of Planning

The following are the principal methods of planning.

1. Top down method
2. Bottom up method
3. Mixed method
4. Team method



Concept of Planning Premises

Planning premises are based on systematic forecasting of the environment. However, managers also use their intuition and judgment to make assumptions about the future events affecting their organizations.



Types of Planning Premises

The following are the major planning premises.

1. Internal and external premises
2. Controllable, semicontrollable and noncontrollable premises
3. Tangible and intangible premises
4. Constant and variable premises



Pitfalls of Planning

The following are some pitfalls or drawbacks of planning that are likely in organizations.

1. Prevents action
2. Leads to complacency
3. Inhibits creativity
4. Prevents flexibility
5. Time consuming
6. Expensive activity
7. Lack of control
8. Incomplete information
9. Resistance to change



Improving Planning

Some of its ways to improve planning are discussed below.

1. Collaboration or participation
2. Take quick action
3. Do not be complacent
4. Grounds for creativity
5. Promote flexibility
6. Cost benefit analysis
7. Identify the controllable and non controllable premises
8. Complete and valid information
9. Remove resistance to change

